

**Table 2:** The mechanism currency by currency, sorted by beta. Columns: sample-average money-market differential vs. the U.S. (%); sample-average real-time (expanding-window) equity beta; and the currency’s own on-state effect  $b$  from  $y_{i,t} = a_i + b_i \mathbf{1}\{\text{state}\}_{t-1} + e_{i,t}$  (annualized, %/yr), where  $y$  is the spot return  $\Delta s_{i,t}$  or the total excess return  $rx_{i,t}$  of (1), for the IYC signal, for its non-downcurve months, and for its downcurve months; no controls, 1988:01–2026:02. The wild bootstrap  $p$  on the state’s episodes is in brackets beneath each coefficient, and stars follow it.

| Currency | Rate diff. | Beta  | IYC signal          |                     | Non-downcurve months |                     | Downcurve months   |                   |
|----------|------------|-------|---------------------|---------------------|----------------------|---------------------|--------------------|-------------------|
|          |            |       | Spot                | Total               | Spot                 | Total               | Spot               | Total             |
| AU       | +1.87      | +0.20 | −13.21**<br>[0.013] | −12.34*<br>[0.090]  | −19.28**<br>[0.024]  | −20.50**<br>[0.019] | −0.28<br>[0.949]   | +3.58<br>[0.497]  |
| CA       | +0.46      | +0.14 | −4.61<br>[0.220]    | −4.04<br>[0.360]    | −8.94***<br>[0.006]  | −9.65***<br>[0.006] | +3.32<br>[0.331]   | +5.73<br>[0.248]  |
| NZ       | +2.29      | +0.13 | −13.28**<br>[0.012] | −12.64**<br>[0.031] | −18.90**<br>[0.037]  | −19.27**<br>[0.031] | −1.02<br>[0.774]   | +0.99<br>[0.776]  |
| NO       | +1.52      | +0.07 | −3.96<br>[0.539]    | −4.46<br>[0.486]    | −4.91<br>[0.575]     | −6.22<br>[0.434]    | −1.43<br>[0.875]   | −0.54<br>[0.954]  |
| SE       | +0.62      | +0.06 | −4.94<br>[0.421]    | −5.11<br>[0.430]    | −7.86<br>[0.354]     | −9.59<br>[0.228]    | +0.91<br>[0.892]   | +3.18<br>[0.639]  |
| EU       | −0.21      | +0.02 | −1.19<br>[0.831]    | −2.12<br>[0.704]    | −0.78<br>[0.915]     | −1.56<br>[0.827]    | −1.50<br>[0.814]   | −2.41<br>[0.765]  |
| GB       | +1.16      | +0.02 | −3.00<br>[0.563]    | −1.75<br>[0.764]    | −1.46<br>[0.836]     | −2.01<br>[0.775]    | −4.56<br>[0.648]   | −0.88<br>[0.897]  |
| JP       | −2.18      | −0.02 | +2.35<br>[0.570]    | +0.91<br>[0.855]    | +8.07<br>[0.249]     | +6.17<br>[0.390]    | −7.11**<br>[0.036] | −7.46*<br>[0.063] |
| CH       | −1.65      | −0.03 | −0.89<br>[0.868]    | −1.72<br>[0.746]    | +0.56<br>[0.912]     | −0.95<br>[0.850]    | −2.88<br>[0.742]   | −2.45<br>[0.734]  |

Rank corr. (rate diff., beta) = 0.72. Fit of the spot effect on beta—IYC signal: slope = −60.0,  $R^2 = 0.77$ , intercept = −0.75; non-downcurve months: slope = −105.6,  $R^2 = 0.84$ , intercept = 1.09; downcurve months: slope = 26.5,  $R^2 = 0.47$ , intercept = −3.38